



Previous Year paper (memory based)
United India Insurance Company
(UIIC)

AO – Accounts/Finance 2023
Professional Knowledge

Exam Pattern for 2023

Sr. No.	Name of Tests	No. of Questions	Marks	Duration
1	Reasoning	25	25	Composite time of 2 hours
2	English Language	25	25	
3	Quantitative Aptitude & Computer Literacy	25	25	
4	General Awareness (with special reference to Financial Sector)	25	25	
5	An additional test to assess technical & professional knowledge in relevant discipline	50	100	
Total		150	200	

Memory Based Questions

Below is a list of some questions of past year to give indication of level and type of questions asked for the professional knowledge:

- As per Companies Act, 2013, it is mandatory to have a women director on the Board of a public company with paid up share capital of ____
 - Rs.100 crore
 - Rs.200 crore
 - Rs.300 crore
 - Rs.500 crore
 - Rs.1000 crore

Ans. A

ixamBee coverage:

Appointment and Qualifications of Directors



3. Women Directors related guidelines

Companies Act, 2013

At least one woman director to be appointed by:

- ☒ Every listed company
- ☒ Every other public company having paid up share capital of Rs.100 crore or more or turnover of Rs.300 crore or more as on the last date of latest audited financial statements,

any intermittent vacancy of a woman director to be filled up by the BoD within 3 months from the date of vacancy or before immediate next board meeting, whichever is later

SEBI (LODR) Regulations, 2015

- Top 500 listed entities should have at least one independent woman director by April 1, 2019.
- Top 1000 listed entities should have at least one independent woman director by April 1, 2020.

2. What is the minimum number of independent director on board of a listed company?

- 1 member
- 1/4th of the Board
- 1/3rd of the board
- 1/5th of the Board
- 2 members

Ans. C

ixamBee coverage:

Independent Directors related guidelines

Particulars	Details
Minimum no. of independent directors	• Every listed public company shall have at least one-third (with fraction rounded-off as one) of the total number of directors as independent directors • the Central Government may prescribe the minimum number of independent directors in case of any class or classes of public companies: ◦ at least 2 independent directors in case of public company having paid up capital of at least Rs.10 crore or turnover of at least Rs.100 crore or have aggregate outstanding loans/debentures/deposits of more than Rs.50 crore <i>SEBI (LODR) regulations, also state that where the listed company has outstanding Superior Rights equity shares, <u>at least half</u> of the board of directors shall comprise of independent directors.</i>
Remuneration	• They may receive remuneration by way of sitting fee, reimbursement of expenses incurred for participation in the Board and other committee meetings and profit related commission as may be approved by the members as provided under section 197 (5) of the Act. • An independent director shall not be entitled to any stock option.

2

Appointment and Qualifications of Directors

3. A director is appointed in _____

- Board Meeting
- Shareholder General meeting
- Shareholder Special meeting
- Extraordinary general meeting
- Annual General Meeting

Ans. B

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Appointment of Directors (Section 152)

- Subscribers to the MoA deemed to be the first directors of company till directors are duly appointed
- Director to be appointed in the general meeting
- To be appointed as director, to have and disclose DIN is compulsory
- A person appointed as director, to give his consent for such appointment and file it with Registrar within 30 days of appointment

4. An independent director can be appointed for a consecutive term of _____
- 2 years
 - 3 years
 - 4 years
 - 5 years
 - 7 years

Ans. D

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Appointment and Qualifications of Directors



Particulars	Details
Tenure	• a term up to 5 consecutive years on the Board of a company, but shall be eligible for reappointment on passing of a special resolution by the company and disclosure of such appointment in the Board's report • No independent director shall hold office for more than two consecutive terms, but such independent director shall be eligible for appointment after the expiration of 3 years of ceasing to become an independent director.

5. The financial statements of the company are approved by _____ before signed by the chairperson/MD/CEO/directors of the company.
- Shareholders
 - Lenders
 - Board of Directors
 - RoC, Government
 - Auditor

Ans. C

6. What is the limit of Gratuity not taxable?
- Rs.10 lakh
 - Rs.15 lakh

- c. Rs.20 lakh
- d. Rs.25 lakh
- e. Rs.30 lakh

Ans. C

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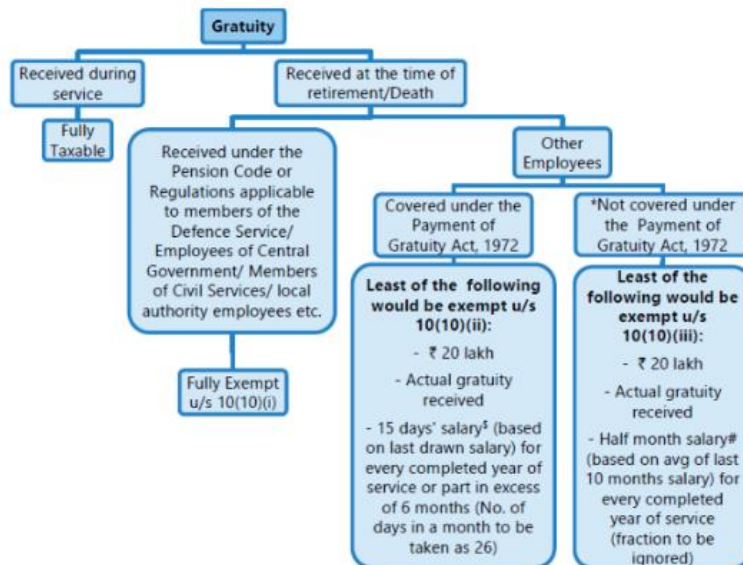
Heads of Income – Part 1



Gratuity:

Gratuity is a voluntary payment made by an employer in appreciation of services rendered by the employee.

Exemption in respect of Gratuity [Section 10(10)]:



- Exemption under section 10(10) would be available to an assessee irrespective of the regime under which he pays tax.

7. What is the Belated return due date for AY 22-23?

- a. 31 Jul 2023
- b. 30 Sep 2023
- c. 31 Oct 2023
- d. 30 Nov 2023
- e. 31 Dec 2023

Ans. E

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Belated Return [Section 139(4)]

If ROI not filed upto due date, belated return can be filed:

3 Months prior to end of relevant AY[31st Dec of AY]

OR

Before completion of Assessment

-Whichever is earlier

8. What is the limit of deduction allowed under section 80TTA of the Income Tax Act?

- Rs.5000
- Rs.10000
- Rs.15000
- Rs.20000
- No deduction allowed

Ans. B

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	purchase of Electric Vehicle	
80G	Donation to Prescribed entities	
80GG	Deduction in respect of rent paid of house property	Individual who doesn't receive HRA is eligible to take deduction in this section: 1. 5000 2. 25% of adjusted total income(ATI). 3. Rent paid - 10% of ATI Whichever is lower.
80GGA	Deduction in respect of donation for scientific research or rural development	100% of donation
80GGB	Donation given by Indian company to Political Parties or Electoral Trust	100% of donation, No deduction if paid in cash
80GGC	Donation given by any other person to Political Parties or Electoral Trust	100% of donation, No deduction if paid in cash
80TTA	Deduction in respect of Interest on deposits in savings account	Total interest in savings a/c or 10,000, WIL
80TTB	Deduction in respect of Interest on deposits in savings/FD account in case of resident senior citizens	Total interest in savings & FD a/c or 50,000, WIL

9. IGST is collected in case of what type of sales?

- All India sales
- Intra-state
- Inter-state
- Part inter- and part intra-state
- Integrated sales

Ans. C

ixamBee coverage:

Framework of GST in India

- **Dual GST** India has adopted a Dual GST model in view of the federal structure of the country. Consequently, Centre and States simultaneously levy GST on taxable supply of goods or services or both, which takes place within a State or Union Territory.
- **Reach** GST extends to whole of India including the State of Jammu and Kashmir.
- **CGST/SGST/UTGST/IGST** GST is a **destination-based tax** applicable on all transactions involving supply of goods and services for a consideration subject to exceptions thereof. GST in India comprises of :
 - Central Goods and Services Tax (CGST)- levied and collected by Central Government,
 - State Goods and Services Tax (SGST) - levied and collected by State Governments/Union Territories with Legislatures and
 - Union Territory Goods and Services Tax (UTGST) - levied and collected by Union Territories without Legislatures, on intra-State supplies of taxable goods and/or services.
 - Integrated Goods and Services Tax (IGST) - Inter-State supplies of taxable goods and/or services are subject to IGST. IGST is the sum total of CGST and SGST/UTGST and is levied by Centre on all inter-State supplies.

Question No.7

View in English

Marks

+1 -0.25

Question:

When a GST dealer in Maharashtra sells a product to a customer in Delhi, the tax collected is

- SGST
- CGST
- IGST
- UTGST
- none of the above

10. How many digits are there in HSN code?

- a. 5 digits
- b. 6 digits
- c. 8 digits
- d. 10 digits
- e. 11 digits

Ans. B

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- **System** HSN (Harmonized System of Nomenclature), a 6-digit code, is used for classifying the goods under the GST. The chapters referred to in the Rate Schedules for goods are the Chapters of the First Schedule to the **Customs Tariff Act, 1975**.

11. Under Income tax, how much deduction is allowed for tuition fee of children?

- a. Rs.25,000
- b. Rs.50,000
- c. Rs.1,00,000
- d. Rs.1,50,000
- e. Not allowed

Ans. D

ixamBee coverage:

Deductions from Gross Total Income

Section 80C:

- Eligible Assessee: Individual / HUF.
- Maximum Limit of deduction: 1,50,000.

Sr No	Eligible Investments:
1	Life insurance premium paid to any insurance company [exemption on an an premium of up to 10% of the insurance policy's total sum assured]
2	Investment in: Public Provident fund [Maximum deposit limit for PPF is Rs. 1,50,000] [Lock-period of 15 years]; ELSS (Equity Linked Savings Scheme) [Lock-in period of 3 years] NSC and interest there on [maturity period ranges from 5 to 10 years] Fixed deposit in schedule bank or post office [Lock-in period of 5 years] Unit Linked Insurance Plans (ULIP) [Lock-in period of 5 years] Infrastructure Bonds
3	Employee contribution in statutory Provident fund and recognised Provident f
4	Repayment of housing loan
5	Tuition fees paid for education of children

12. Which inventory method is banned as per Ind AS?

- FIFO
- LIFO
- Weighted average
- All of the above
- None of the above

Ans. B

ixamBee coverage:

Methods of Inventory Valuation or Cost Formula

- FIFO – First In First Out** – it will be assumed that the inventory bought first will be sold first and the closing stock left is from the last purchases
- Weighted Average Cost** – Cost per unit of inventory will be the weighted average of cost where weights will be the quantity.

Note –

- LIFO (Last In first Out) is prohibited
- For non-inter-changable items, Specific identification is used (for example in case of custom made products, actual cost would be used to value the inventory)

13. In India, what is the minimum Solvency ratio of insurance company to be maintained?

- 100%
- 120%
- 125%
- 150%
- 175%

Ans. D

ixamBee coverage:

Some terms related to Insurance business

Term	Meaning
First year premiums	Regular premiums received during the year for all modes of payments chosen by the customer which are still in the first year. For example, for a monthly mode policy sold in March 2019, the first instalment would fall into first year premiums for 2018-19 and the remaining 11 instalments in the first year would be first year premiums in 2019-20.
New business received premium	The sum of first year premium and single premium
Renewal premiums	Regular recurring premiums received after the first year
Solvency Margin and solvency ratio	Solvency Margin is the excess of the value of assets over the amount of Liabilities. IRDA stipulates a minimum solvency margin to be maintained by an insurance company which is referred to as a Required Solvency Margin. In the case of life insurers, the minimum Required Solvency Margin is rupees fifty crore (rupees one hundred crore in the case of reinsurer) <i>It is a basic measure of how financially sound an insurer is and its ability to pay claims.</i> Solvency Ratio is the ratio of available solvency margin to required solvency margins. In India, insurers are required to maintain a minimum solvency ratio of 1.50 times or 150%.
Conservation Ratio	Ratio of current year renewal premiums to previous year's renewal premium and first year premium
Persistency Ratio	Measure of the total business that the insurance company is able to retain in a financial year without policies being lapsed or premium amount being lost to other insurers. The ratio is measured both by the policy number and premium collected

Other topics asked:

- Insurance paid up capital
- Average clause in insurance – meaning?
- Activity Ratio is used to assess?
- Calculate EPS
- Calculate Current ratio
- Subsidy: capital receipt or revenue receipt
- National electronic toll collection
- Bharat bill payment system
- AEPS
- Which is not a regulator? - Nabard
- Which of the following is not in a group of world bank - New development bank
- Top company of BSE?